China Logistics, Express Parcel and Ecommerce

Global China Summit takeaways and April data: pricing power holds, ASP rises, e-commerce momentum decelerates

April operating and channel data reinforce a bifurcated but broadly constructive setup for China logistics: ***policy discipline continues to support pricing, while end-demand in e-commerce is clearly cooling***. Company conversations with ZTO, J&T, Yunda and YMM at the 2026 J.P. Morgan Global China Summit also converged on the same playbook: cost transmission to manage fuel volatility, technology and automation to protect unit economics, and service quality/reverse logistics as the key differentiation as headline pricing converges. On the express side, SPB data show volume growth steady but moderate at +3.2% Y/Y (16.84B), while revenue growth accelerated to +6.3% Y/Y (Rmb128.91B), driven by ASP recovery to Rmb7.65 (+3% Y/Y). That mix—slower volume, faster revenue, positive ASP—signals a more rational, yield-focused industry structure and aligns with Summit feedback that anti-involution has moved from a “campaign” into more repeatable operating rules (price discipline, grassroots welfare, network stability). Against this, April NBS data point to a meaningful demand deceleration (online retail +2.3% Y/Y; online physical goods GMV +0.2% Y/Y), with sharper softness in electronics categories and a tougher base plus lighter subsidies adding pressure into 2Q.

Stock view: The sector largely underperformed over the past one month, consistent with investor focus on fuel-driven margin risk, even as policy-driven pricing trends improve. YTD, performance is more constructive and more selective, with express leaders still delivering meaningful gains on the back of anti-involution durability and profitability improvement, while SF has remained a clear laggard as the market debates the pace and effectiveness of its strategy reset. We keep a selective stance: **ZTO and JD Logistics remain our top picks** given stronger visibility on execution and structural tailwinds from a more rational industry regime; **we keep OW on SF**, but it is not a preferred pick as strategy progress remains a key watch item for sentiment to inflect; and **we keep Neutral on YMM**, as valuation discounts have absorbed much of the regulatory and volume uncertainty, with re-entry dependent on clearer easing of headwinds and evidence of order-trend rebound.

Infrastructure, Industrials & Transport

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Key takeaways from Global China Summit: anti-involution durability, pricing power, and operational innovation

ZTO, Yunda, J&T, and YMM attended the Global China Summit (May 2026), where discussions centered on the sector’s evolving landscape and the latest operational and policy drivers. Key themes included the durability of anti-involution measures, the sector’s ability to maintain pricing power amid rising costs, and the ongoing shift toward quality-driven growth. Management teams highlighted that regulatory discipline

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

continues to underpin industry profitability, with policy support fostering a more stable and rational market environment. Companies are leveraging technology, automation, and cost transmission mechanisms to offset fuel price hikes and drive operational efficiency. Network quality, service reliability, and reverse logistics capabilities are increasingly differentiating leaders, while partnerships and international expansion remain critical for capturing new growth. The summit also underscored the importance of adapting pricing strategies, recovering demand lost to regulatory changes, and maintaining disciplined execution as the sector faces both cyclical and structural challenges.

- **ZTO's management highlighted that the policy environment remains supportive, with anti-involution measures underpinning industry profitability and structure.** While the sustainability of these policies into 2027 cannot be guaranteed, ZTO expects continued government focus on grassroots welfare and network stability, making a return to aggressive price wars unlikely. ZTO's parcel volume growth in 2Q to date tracked within the guided 10–13% range, slightly below 1Q's 13% due to base effects but well ahead of industry averages. Management remains confident in achieving full-year growth targets, citing sustained outperformance versus peers and healthy underlying demand. Service quality and network strength remain ZTO's core differentiators, especially as pricing converges. ZTO's superior ***reverse logistics*** capability—handling peak daily volumes of 10MM parcels—sets it apart and is difficult for competitors to replicate quickly. Cost reduction and automation efforts are focused on the last mile, with direct sorting rates at 40–45% and unmanned vehicle deployment progressing, though broader rollout is constrained by regulatory factors. All cost savings at the last mile are passed through to franchisees, reinforcing network confidence and engagement. Alibaba's stake reduction is not expected to have a fundamental impact on ZTO's earnings or operations, as Tmall and Taobao contribute less than 20% of ZTO's parcel volume and no material contractual dependencies are expected to be affected.

- **J&T's management noted that the impact of rising fuel prices varies across Southeast Asian countries, with Indonesia and Malaysia less affected, while Thailand and Vietnam face greater challenges.** The company has established a robust cost transmission mechanism, allowing it to pass increased costs to customers, which has been well received. Southeast Asia remains a key growth engine for J&T, with a projected annual growth rate of 50%. The region's parcel volume per capita is only a quarter of China's, indicating substantial room for expansion. J&T's partnership with SF is progressing well, with J&T handling most of SF's overseas last-mile deliveries and expanding into Europe and the Americas. In China, J&T has significantly narrowed its pricing gap with top-tier competitors, though brand premium remains. Large clients prioritize service and stability, while smaller clients are more price-sensitive. LATAM is a major contributor to J&T's overseas business, with Brazil and Mexico leading. The business model in LATAM is evolving from direct operations and crowdsourcing to a franchise system, tailored to local market dynamics. Service levels are improving, with delivery times now under one day and costs significantly lower than local competitors.

- **YMM's management shared that oil price increases in March accelerated shipper migration to online platforms, supporting 1Q volume, but sustained**

oil price hikes in April pushed up freight rates and suppressed low-price shipment demand, negatively impacting 2Q volume. YMM's full-year direct volume guidance remains at 13–17%, targeting mid-to-high growth. The platform has recovered demand lost during last year's regulatory crackdown on less-than-truckload pooling, with marketing efforts successfully bringing affected shippers back online. YMM's invoicing business is transitioning to a mix of self-operated and third-party models, with third-party partners being state-owned platforms with tax advantages. The third-party invoicing model is sustainable, with high margins and risk control through diversified partners. Small loan business is shifting to a referral model, with self-operated balance expected to drop to 20% by year-end, and overall OP impact limited. Driver sensitivity to oil prices is high, with oil accounting for c.30% of costs, while commission sensitivity is lower. YMM's pure electric heavy truck penetration is c.10% overall, with faster adoption in short-haul routes. Overseas business is expanding in Egypt, Turkey, Indonesia, and UAE, with further growth planned for next year. The platform's mid-term commission rate target is at least 3%, with current levels around 2%. AI is being applied to optimize shipper and driver workflows, delivering cost savings and efficiency gains.

- **Yunda's management emphasized that anti-involution sustainability is driving the industry to grow with quality, as regulatory authorities prioritize price stability and discourage extra-low pricing**. Yunda's network service quality has improved, evidenced by reduced penalties and compensation related to service failures, reflecting a more disciplined and resilient operational model. Industry growth remains positive but faces challenges, with pricing strategies adapting to market and policy shifts. Yunda believes it is challenging for the express delivery industry to grow 8–10% Y/Y this year, given the slow start in 1H26, partly due to the impact of e-commerce tax policies. However, parcel volume is expected to recover in 2H26, especially around major promotional events like 618. Fuel price hikes have increased costs, but Yunda's effective price transmission has largely offset the impact, with price transmission to end customers and franchisees varying by region. Yunda's reverse parcel business, including returns and retail parcels, has grown to c4MM orders, with returns accounting for 1.5MM. New partnerships, such as with Douyin, are expected to boost volumes and profitability, which is now improving and outperforming standard e-commerce parcels.

April express delivery data reflects sustained policy support, ASP recovery, and healthy volume growth

- **The April express delivery sector data further reinforces the positive momentum established in recent months, as continued policy support and a notable improvement in ASP underpin a healthier industry landscape.** Despite a modest deceleration in parcel volume growth—industry volume reached 16.84B, up 3.2% Y/Y—the sector delivered robust revenue expansion, with total industry revenue rising 6.3% Y/Y to Rmb128.91B. This outperformance was driven by a sustained ASP recovery, as the industry ASP climbed to Rmb7.65, marking a 3% Y/Y increase. The sector's ability to maintain pricing power in a more rational, yield-focused environment highlights the effectiveness of ongoing anti-involution measures and regulatory discipline, and signals that the industry is successfully transitioning away from volume-at-any-cost toward quality-driven growth.

- **The persistence of policy support continues to shape the sector's competitive landscape, with authorities emphasizing rational competition and the elimination of ultra-low-price flows.** This regulatory backdrop is fostering a more stable and orderly market, enabling leading players to prioritize service quality and profitability. Anti-involution measures are now embedded in industry practice, giving companies the confidence to focus on yield rather than pure volume expansion. As a result, the sector is increasingly characterized by disciplined execution and strategic differentiation, which should support healthier long-term development and reinforce the market's preference for quality over scale.

- **Divergence among major express delivery players persisted in April, underscoring the importance of strategic focus and mix quality.** STO delivered standout performance, with parcel volume surging 14% Y/Y to 2.38B and ASP rising 15% to Rmb2.26, demonstrating strong mix quality and ongoing consolidation benefits. YTO maintained steady volume growth at 2.73B (+1% Y/Y) and improved ASP to Rmb2.23 (+4% Y/Y), while Yunda's focus on pruning ultra-low-price flows resulted in softer volume (-4% Y/Y) but a notable ASP increase (+10% Y/Y). SF continued to realign its e-commerce strategy, with volume down 3% Y/Y but ASP up 5% to Rmb14.2, signaling improved revenue quality and margin resilience. Market share dynamics remained stable, with STO gaining 1.3ppts Y/Y helped by Danniao consolidation, while Yunda, YTO, and SF saw slight declines, reflecting ongoing consolidation and the importance of strategic differentiation in a more rational market environment.

April ecommerce data demonstrates a meaningful deceleration, highlighting persistent softness in discretionary demand

- **The latest NBS data for April reveal a clear slowdown in China's online retail sales, with growth moderating to 2.3% Y/Y, down from 5.8% in March.** Online physical goods GMV grew just 0.2% Y/Y in April, a significant deceleration from 2.5% in March and marking the lowest monthly growth since December 2024. Online penetration of physical goods sales reached 25.7% in April, up 0.6ppts Y/Y, but the underlying pace points to continued sluggish discretionary demand. Our internet team believes this softness signals ***downside risk*** for ecommerce companies' 2Q GMV and revenue, as the April trend sets a weaker tone for the quarter.

- **Category-level data for April show mounting pressure in home appliance and communication device sales, with both segments experiencing sharper declines.** Home appliances sales dropped further to -15% Y/Y in April, compared to -5% Y/Y in March, while communication device sales growth slowed to 6% Y/Y, down from 27% in March. The pronounced deceleration across these categories is largely attributable to a still-high comparable base from last year (39% Y/Y for home appliances and 20% Y/Y for communication devices), as well as a less intensive subsidy program in 2026. With the comp base stepping up further into May and June, we expect continued pressure on JD's electronic sales in 2Q, as the sector faces both cyclical and policy-driven headwinds.

- **Apparel and daily-use product sales also reflect the broader deceleration in online discretionary demand, with apparel online sales growth slowing to 7% Y/Y in 4M26, from 12% in 1Q26.** This suggests an 8% Y/Y decline in

April alone, per JPMe, indicating that the post-holiday pullback in March has persisted into the new quarter. Online food sales growth decelerated to 16% Y/Y in 4M26, from 17% in 1Q26, but the April growth rate accelerated marginally to c.11% on JPMe, from c.10% in March, providing a modest offset. Online daily-use products sales growth was 3% Y/Y in 4M26, suggesting a flat April, further underscoring the subdued consumer appetite for non-essential categories.

Share price performance review

- **The logistics sector experienced broad underperformance in the latest period, as most names posted negative returns amid heightened concerns over rising fuel prices and cost pressures.** This weakness was particularly pronounced among leading express delivery players, with JD Logistics (-16%), YTO Express (-15%), and ZTO Express (both H and US listings, -14% and -12% respectively) leading the declines. FTA was the only notable exception, delivering a positive return (+6%) despite the challenging backdrop. Broader indices, including HSCI (-4%) and Nasdaq Golden Dragon (-3%), also posted losses, but the logistics sector's declines were more severe, reflecting the market's acute sensitivity to input price volatility and the ongoing challenges in maintaining profitability. The sector's underperformance highlights the importance of cost discipline and strategic adaptation as companies navigate a more uncertain operating environment.

- **YTD performance reveals a clear divergence, with Tongda players and JD Logistics delivering substantial gains, supported by profitability improvement and robust earnings outlooks.** YTO Express (+14%), STO Express (+14%), JD Logistics (+13%), and ZTO Express (H +7%, US +6%) outperformed, driven by anti-involution sustainability initiatives and margin expansion. This outperformance was concentrated among top-tier express delivery names, underscoring their ability to capture incremental market share and drive operational efficiency. In contrast, FTA (-18%), J&T (-14%), and Nasdaq Golden Dragon (-13%) lagged, reflecting persistent structural headwinds and weaker fundamentals. SF Holdings continued to underperform (-10% H, -9% A), weighed down by ongoing profitability concerns and slower strategic transformation. The sector's rally among leaders highlights the critical role of operational discipline, technology leadership, and strategic clarity in sustaining growth and navigating market volatility.

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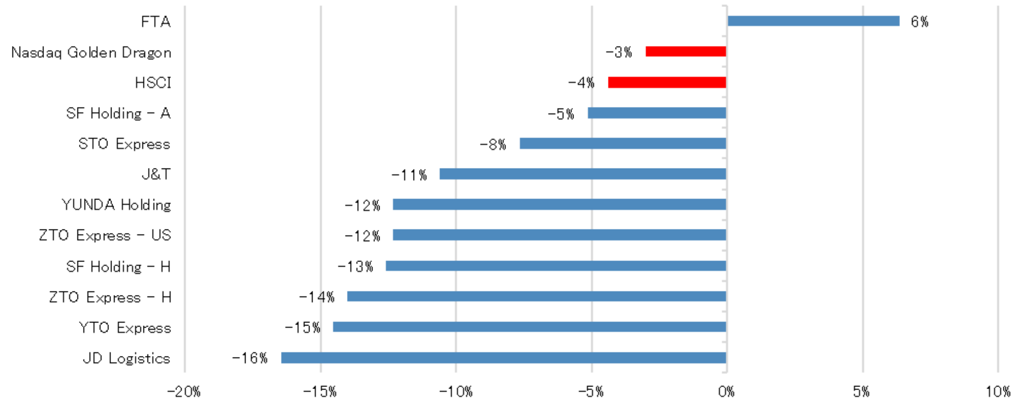
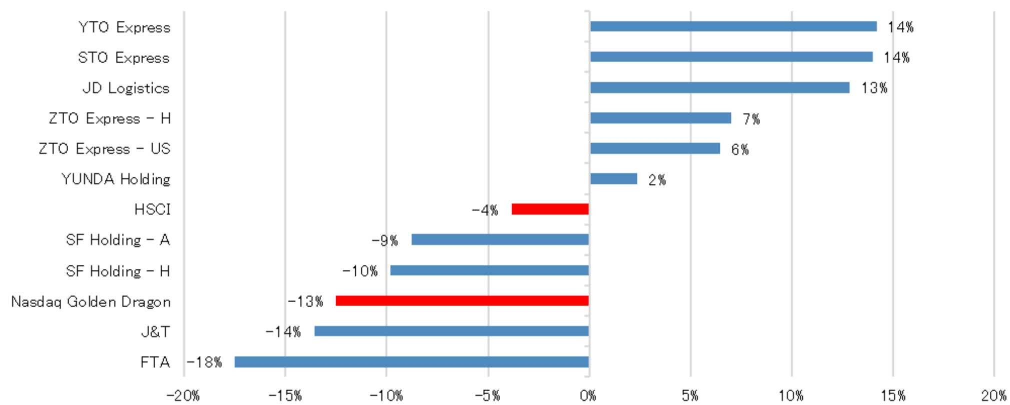
Figure 1: China logistics share price performance (past one month)



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results. Data as of 29 Mayl 2026.

Figure 2: China logistics share price performance (year to date)



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results. Data as of 29 May 2026.

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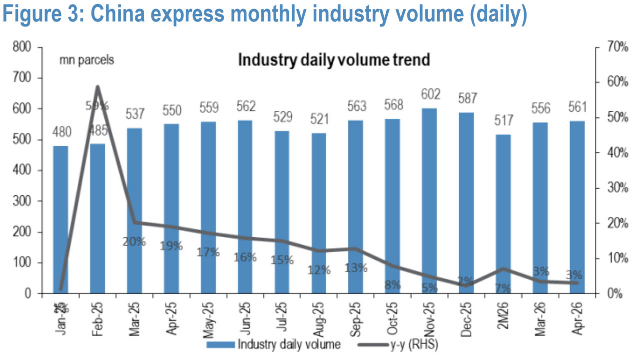
Table 1: Snapshot of China's express parcel monthly data

	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	2M26	Mar-26	Apr-26
Industry													
China's parcel volume (Bn)	16.66	16.32	17.32	16.87	16.40	16.15	16.88	17.60	18.06	18.21	30.49	17.24	16.84
Daily volume (mn)	537	550	559	562	529	521	563	568	602	587	517	556	561
Y/Y	20.3%	19.1%	17.2%	15.8%	15.0%	12.3%	12.8%	7.9%	4.9%	2.3%	7.1%	3.5%	3.2%
Industry ASP (Rmb/parcel)	7.48	7.43	7.25	7.49	7.36	7.37	7.55	7.48	7.62	7.63	7.82	7.57	7.65
Y/Y	-8.2%	-7.0%	-7.6%	-5.9%	-5.3%	-7.2%	-4.9%	-3.0%	-8.3%	-1.6%	0.8%	1.2%	3.0%
Company metrics													
Parcel volume (Bn)													
Yunda	2.25	2.17	2.30	2.17	2.16	2.15	2.11	2.14	2.18	2.15	3.57	2.14	2.08
YTO	2.67	2.69	2.76	2.63	2.58	2.51	2.63	2.79	2.89	2.88	4.80	2.84	2.73
STO	2.02	2.09	2.26	2.18	2.18	2.15	2.19	2.27	2.50	2.50	4.14	2.50	2.38
SF	1.30	1.34	1.48	1.46	1.38	1.41	1.50	1.52	1.53	1.48	2.46	1.25	1.30
Daily volume (mn)													
Yunda	72.7	72.5	74.3	72.4	69.7	69.2	70.3	68.9	72.5	69.3	60.5	69.1	69.5
YTO	86.0	89.8	89.2	87.6	83.3	81.0	87.6	90.0	96.2	93.0	81.4	91.7	90.9
STO	65.3	69.7	73.0	72.8	70.4	69.3	72.9	73.3	83.4	80.7	70.2	80.7	79.3
SF	41.8	44.5	47.6	48.7	44.4	45.4	50.1	49.2	51.1	47.6	41.7	40.4	43.2
Market share													
Yunda	13.5%	13.3%	13.3%	12.9%	13.2%	13.3%	12.5%	12.1%	12.0%	11.8%	11.7%	12.4%	12.4%
YTO	16.0%	16.5%	16.0%	15.6%	15.8%	15.5%	15.6%	15.9%	16.0%	15.8%	15.7%	16.5%	16.2%
STO	12.1%	12.8%	13.1%	12.9%	13.3%	13.3%	13.0%	12.9%	13.9%	13.7%	13.6%	14.5%	14.1%
SF	7.8%	8.2%	8.5%	8.7%	8.4%	8.7%	8.9%	8.7%	8.5%	8.1%	8.1%	7.3%	7.7%
ASP (Rmb/parcel)													
Yunda	1.96	1.91	1.92	1.91	1.91	1.92	2.02	2.11	2.16	2.15	2.19	2.14	2.11
YTO	2.18	2.14	2.12	2.10	2.08	2.15	2.21	2.23	2.24	2.25	2.31	2.14	2.23
STO	2.01	1.97	1.95	1.99	1.97	2.06	2.12	2.18	2.41	2.33	2.38	2.24	2.26
SF	13.82	13.49	13.12	13.67	13.55	13.27	13.87	13.18	13.47	13.81	14.98	14.40	14.20

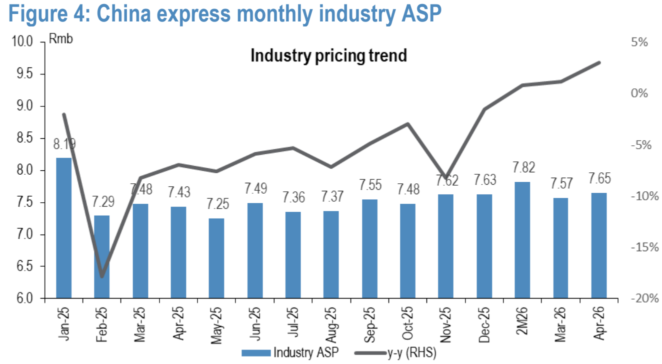
Source: State Post Bureau, company data.

Figure 3: China express monthly industry volume (daily)



Source: SPB

Figure 4: China express monthly industry ASP



Source: SPB

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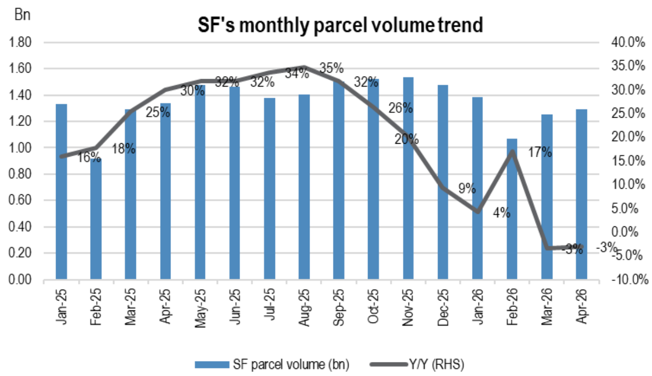
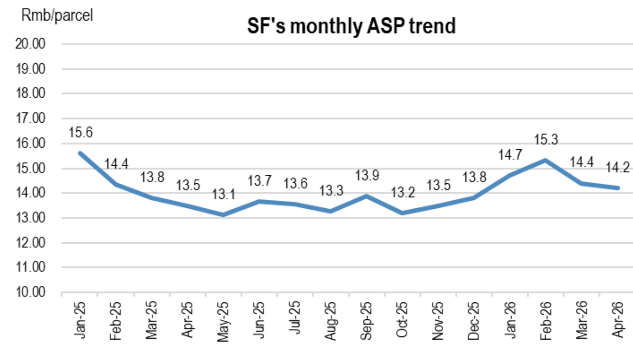
Figure 5: SF's monthly volume trend



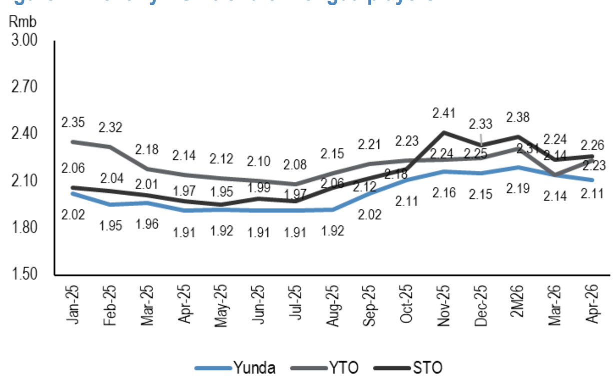
Source: Company data.

Figure 6: SF's monthly ASP trend



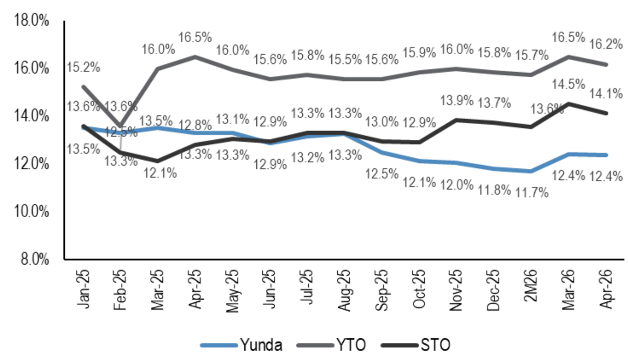
Source: Company data.

Figure 7: Monthly ASP trend of Tongda players



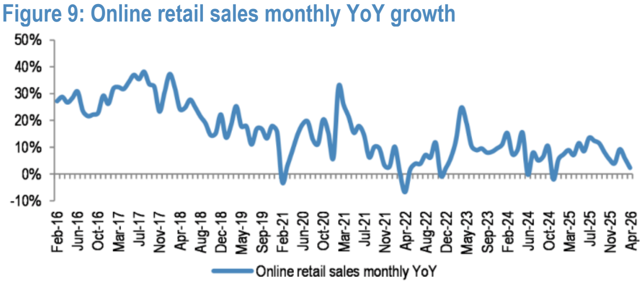
Source: Company data.

Figure 8: Monthly volume share trend of Tongda players



Source: SPB, Company data.

Figure 9: Online retail sales monthly YoY growth



Source: National Bureau of Statistics of China (Article title: China total retail sales grew 1.9% YoY in Jan-Apr 2026, May 18, 2026), J.P. Morgan.

Figure 10: Online physical goods sales monthly YoY growth

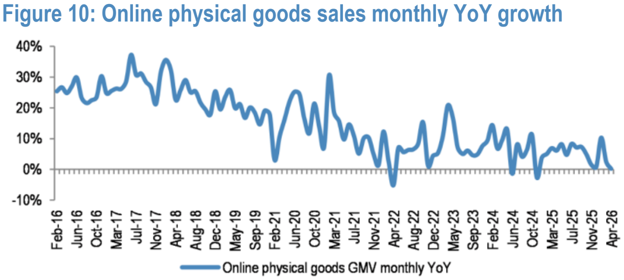


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Table 2: Global logistics comparison table

	BBG Ticker	JPM rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US$Mn	YTD Stock perf.	P/E (x) FY26E	P/E (x) FY27E	EPS Grpwth FY26E	EPS Grpwth FY27E	PEG FY26E	EV/EBITDA FY26E	EV/EBITDA FY27E	ROE (%) FY26E	ROE (%) FY27E	P/B (x) FY26E	P/B (x) FY27E
SF Holding - A	002352 CH	OW	34.95	42.00	20%	25,744	-9%	14.8	13.4	22%	10%	0.7	6.2	5.7	11.5	11.4	1.6	1.5
SF Holding - H	6936 HK	OW	31.28	40.00	28%	25,744	-10%	11.2	10.2	10%	10%	1.1	4.9	4.4	11.5	11.4	1.2	1.1
ZTO Express - US	ZTO US	OW	22.24	29.00	30%	17,123	6%	11.3	10.0	12%	13%	0.9	6.4	6.0	15.0	15.4	1.7	1.5
ZTO Express - H	2057 HK	OW	173.70	225.00	30%	17,069	7%	11.2	10.0	19%	13%	0.6	6.4	5.9	15.0	15.4	1.6	1.5
JD Logistics	2618 HK	OW	12.89	20.00	55%	10,978	13%	10.1	8.8	22%	15%	0.5	3.3	3.2	16.3	16.7	1.1	1.0
YTO Express	600233 CH	NC	18.75	NA	NA	9,483	14%	10.6	9.4	43%	13%	0.2	6.0	5.2	15.5	15.6	1.6	1.4
YUNDA Holding	002120 CH	NC	6.90	NA	NA	2,956	2%	10.0	8.9	45%	12%	0.2	4.0	3.7	8.9	9.3	0.9	0.8
STO Express	002468 CH	NC	15.30	NA	NA	3,461	14%	11.4	9.9	55%	15%	0.2	6.1	5.5	16.9	16.4	1.8	1.5
Sinotrans	601598 CH	NC	6.07	NA	NA	5,887	0%	13.5	12.8	-11%	6%	-1.3	8.6	8.1	7.9	8.8	1.0	1.0
CST International	603128 CH	NC	5.36	NA	NA	1,037	-12%	15.3	13.0	7%	18%	2.2	11.5	10.3	7.2	8.4	1.1	1.1
J&T	1519 HK	NC	9.03	NA	NA	10,273	-14%	17.2	12.4	68%	39%	0.3	8.0	6.3	15.8	18.8	2.8	2.3
FTA	YMM US	N	8.85	8	-10%	9,182	-18%	12.6	10.6	14%	19%	0.9	9.5	8.0	11.0	11.6	1.4	1.2
Average							**0%**	**12.4**	**10.8**	**25%**	**15%**	**0.5**	**6.7**	**6.0**	**12.7**	**13.3**	**1.5**	**1.3**
Fedex	FDX US	OW	411.40	460.00	12%	98,163	42%	20.9	18.3	10%	14%	2.2	12.2	11.0	15.6	16.7	3.2	3.0
UPS	UPS US	N	106.67	118.00	11%	90,670	8%	15.0	13.4	3%	12%	4.9	9.2	8.6	36.7	41.2	5.6	5.2
DHL	DHL GR	OW	51.58	56.50	10%	69,015	10%	15.6	14.1	7%	10%	2.1	7.1	6.8	16.4	17.4	2.5	2.3
Kuehne + Nagel	KNIN SW	UW	182.95	170.00	-7%	28,186	7%	21.2	24.7	15%	-14%	1.4	10.4	11.0	45.4	36.5	9.3	8.8
Expeditors	EXPD US	UW	158.96	139.00	-13%	20,791	7%	22.9	22.2	17%	3%	1.3	16.3	16.9	44.2	60.3	11.9	17.2
C.H. Robinson	CHRW US	OW	175.41	196.00	12%	20,672	9%	28.5	22.3	22%	28%	1.3	20.9	17.1	40.3	54.3	11.6	13.2
SAIA	SAIA US	OW	469.21	465.00	-1%	12,514	44%	39.4	30.3	30%	30%	1.3	18.4	15.1	12.9	15.7	5.1	4.4
Nippon Express	9147 JP	OW	5,259	4,000	-24%	8,024	57%	21.2	18.8	13%	13%	1.6	6.6	6.3	8.0	8.4	1.6	1.6
KLN	636 HK	NC	6.14	NA	NA	1,416	-13%	8.0	7.6	3%	5%	2.4	4.2	4.0	7.4	7.4	0.6	0.6
CJ Logistics	000120 KS	N	85,500	100,000	17%	1,293	-10%	6.8	6.2	3%	10%	2.3	4.8	4.5	5.9	6.1	0.4	0.6
Average							**16%**	**22.7**	**20.2**	**12%**	**11%**	**2.3**	**11.0**	**10.1**	**21.3**	**24.1**	**4.8**	**5.2**

Note: Pricing as of May 29 2026. Past performance is not an indicator of future results. J.P. Morgan estimates for covered stocks, Bloomberg consensus for Not Covered (NC) stocks.
Source: Bloomberg Finance L.P. and J.P. Morgan estimates.

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